

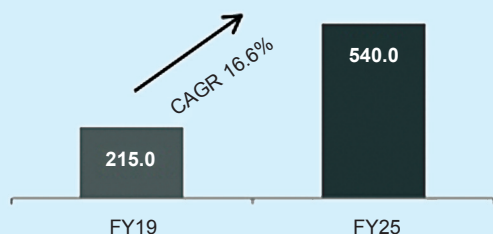
THE DASHBOARD



Electronics Market: Possibly The Fastest Growing Vertical in India

Electronics market has witnessed a growth in demand with market size increasing from US\$145 billion in FY16 to US\$215 billion in FY19. India's exports of electronic goods were valued at US\$11.7 billion in FY21. In May 2021, exports of electronic goods were valued at US\$950.17 million. India's electronics industry, valued at \$215 billion in 2019, is forecast to grow to be worth \$540 billion in 2025.

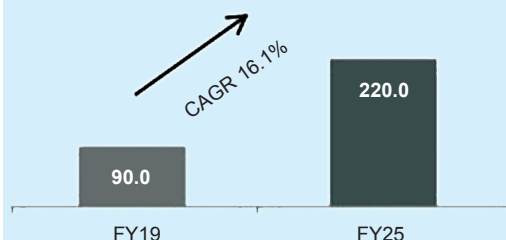
Electronics Industry in India (US\$ billion)



India's ESDM Vertical Headed Towards Becoming a \$220 Billion Industry

India's Electronics System Design & Manufacturing (ESDM) sector is headed towards being a \$220 billion opportunity. The government of India has set a target of getting ₹18,000 crore (\$2.4 billion) invested in the electronics manufacturing segment by 2021-22. Several PLIs have already been launched. 100% Foreign Direct Investment (FDI) under the automatic route in the ESDM sector, barring defence, have also been approved.

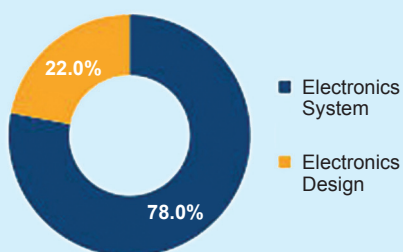
Electronics System Design and Manufacturing (ESDM) in India (US\$ billion)



The Two Heads of ESDM Market: Where Are You Investing

Segregated into electronics system and electronics design, the Electronics System Design & Manufacturing (ESDM) sector is headed towards being a \$220 billion opportunity. The electronics system market is expected to witness 2.3x demand of its current size (FY19) to reach US\$160 billion by FY25. Electronics design segment, growing at 20.1%, was 22% of the ESDM market size in FY19; it is anticipated to be 27% of the ESDM market size in FY25.

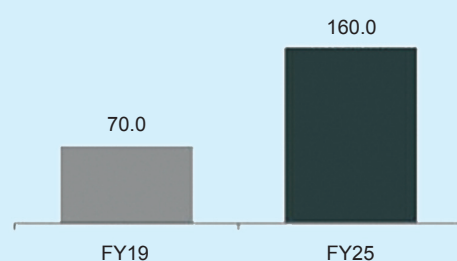
Segmentation of ESDM Market (FY19)



Electronics System Market: The Big Leap

The spike in demand for electronic products is fueling big growth in the electronics system market space. The vertical is forecast to be worth \$160 billion in FY2025. It was valued at around \$70 billion in FY2019. As a matter of fact, the electronics system design vertical is forecast to take the bigger share in the overall growth of the ESDM sector (Electronics System - 78%, Electronics Design - 22%).

Electronics System Market (US\$ billion)



Source: <https://www.ibef.org>